

And some for charities and public interest groups. All are good at one thing: transferring your money from you to them. Whether they actually cure cancer or accomplish any of the other worthy goals you hoped for is an entirely different matter.

Think of private, profit-making businesses. Even with the threat of bankruptcy and the need to trim costs and boost sales close at hand, even with the smell of profits in the managers' nostrils and the fear of Chapter 11 staring them in the face—private businesses are still prey to bureaucracy and position padding. Imagine what happens in an institution with no profit motive! Your money is capital. It is a call on resources. As far as we can tell, the best thing you can do for yourself and others is to invest it wisely, with the hope of a real profit. Profits are the only things that tell you with reasonable certainty that you are actually adding value.

Look at it this way: If you give money to charity, how do you know that it is worthwhile? How do you know that you don't do more harm than good? If your money is merely used up, with no positive outcome, you have done bad. That is, you have wasted precious resources that might have been used to make people's lives better. But how can you tell when people's lives are better?

You may think that people would all be better off if they lived in blue houses. So you buy blue paint and give it to people. Some paint their houses blue. Have you done good?

You may think that people would be better off if they had access to free bread. So you hand out bread on the street corner. Have you done good?

You may think that people should all drive energy-efficient cars. So you endow research into battery-powered vehicles. Have you done good?

Answer: You don't know. But if you have actually done good, it is by accident. Because you don't have any way of measuring it. And you surely don't know—by intuition or revelation—what would be good for other people.